Market Trend: The $8 Billion Opportunity in WAN Networking

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Initiatives:Communications Industry Strategy and Go-to-Market

There is an opportunity of more than $8 billion as enterprises adopt SD-WAN managed and cloud connect services. This research provides insights for communications service providers on revamping portfolios, bundling connectivity with managed SD-WAN and offering cloud interconnect fabrics.

Overview

Market Opportunities and Challenges

- SD-WAN, either on its own or within a secure access service edge (SASE) architecture, has reached mainstream adoption by enterprises in developed markets. As early adopters approach the first SD-WAN technology refresh cycle, communications service providers (CSPs) have the opportunity to position themselves as one-stop network service providers by offering bundled connectivity services with SD-WAN managed service offerings. These bundled services help ease transitions, simplify management and mitigate enterprise risk. There are additional opportunities to position managed SD-WAN within a more comprehensive managed SASE offering.
- Meeting the evolving demands for secure, agile, high-performing and on-demand cloud connectivity is required to support enterprise digitalization efforts with advanced NaaS-based cloud interconnect fabric offerings. This may involve forming strategic partnerships with hyperscalers, regional cloud providers and software-defined cloud interconnect (SDCI) providers.

Strategic Planning Assumptions

By the end of 2027, 60% of revenue growth for CSPs in enterprise networks will be driven by SD-WAN managed services and cloud connect solutions, up from 20% in 2024.

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By 2028, 40% of enterprises will employ software-defined cloud interconnect (SDCI) services to connect to public cloud service providers, up from less than 15% in 2024.

Introduction

Enterprise work environments have evolved. They are now hybrid, use multiple SaaS applications, and store and access data from the cloud. As a result, cost-effective solutions are needed to support ever-growing demand for additional bandwidth supporting video, AI and other applications. In this report, we update Gartner's view on the enterprise spending shift from traditional multiprotocol label switching (MPLS) services to SD-WAN and internet. We further analyze how this shift is creating new opportunities for vendor management across a larger and more complex vendor ecosystem with SD-WAN managed services and cloud connect solutions. This, in turn, could create an opportunity of more than $8 billion for service providers, in addition to continued MPLS profits. [1,2]

Market Trend

Although MPLS services are still used for certain use cases, such as data center or large-site connectivity, the shift in spending on off-premises internet services is accelerating. In terms of end-user spend, Gartner expects the global traditional WAN managed services and MPLS markets to decline at 6.4% and 7.5% compound annual growth rates (CAGRs) from 2023 to 2028, respectively (see Figure 1). [1,2] The reasons behind this shift are varied and well-known:

- MPLS networks are typically more expensive due to the high costs associated with dedicated circuits and service provider contracts. SD-WAN, especially when it leverages broadband internet, offers a more cost-effective solution, reducing WAN costs by up to 50%.
- The exponential growth in data consumption and cloud-based applications necessitates higher bandwidth. SD-WAN can aggregate multiple internet connections in active configurations, making it a more effective use of the available bandwidth in an enterprise location.
- As enterprises migrate to cloud services (e.g., Amazon Web Services [AWS], Microsoft Azure, Google Cloud), SD-WAN offers direct and optimized access to these platforms. This is in contrast to MPLS, which often requires backhauling traffic through data centers, leading to latency issues.
- SD-WAN provides greater flexibility and agility, allowing enterprises to quickly deploy new sites and adapt to changing business needs.

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- SD-WAN solutions incorporate intelligent traffic management and dynamic path selection, improving application performance and reliability over the internet (e.g., for latency-sensitive applications like VoIP and video conferencing).
- SD-WAN offers centralized orchestration and management, simplifying network operations.
- Modern SD-WAN solutions (which comprise SD-WAN and security tools) integrate advanced security features, such as encryption, firewalls, and secure web gateways, providing robust protection against cyberthreats.
- SD-WAN solutions offer enterprises the flexibility to choose from a variety of internet service providers, reducing dependency on a single MPLS provider and avoiding vendor lock-in. This, in turn, can lead to better service terms and competitive pricing.

Despite the benefits of SD-WAN solutions, shifting enterprise networks to internet and SD-WAN-based overlays creates the potential for added complexity. There are several sources of this added complexity, including variable internet service performance, unpredictable routing paths, granular application-based traffic and security policy settings, and the need to use multiple local ISPs due to geographically distributed branch offices. Enterprises are more focused on mission-critical priorities than managing network services, creating opportunities for managed SD-WAN services. Gartner expects end-user spend in the global SD-WAN managed services market to increase at a 10.8% CAGR from 2023 to 2028 (see Figure 1). [1]

Another key opportunity comes from enterprises' reliance on cloud services for mission-critical workloads. Cloud services, including infrastructure as a service (IaaS), platform as a service (PaaS) and SaaS, continue to grow as either the sources or destinations of enterprise's data traffic. This shift in traffic patterns is driving an increase in cloud connect solutions, as internet-based connections cannot guarantee the secure and predictable high-performance connectivity required for mission-critical applications. Gartner expects the global cloud connect market, in terms of end-user spending, will increase at 20.9% CAGR (see Figure 1). [2]

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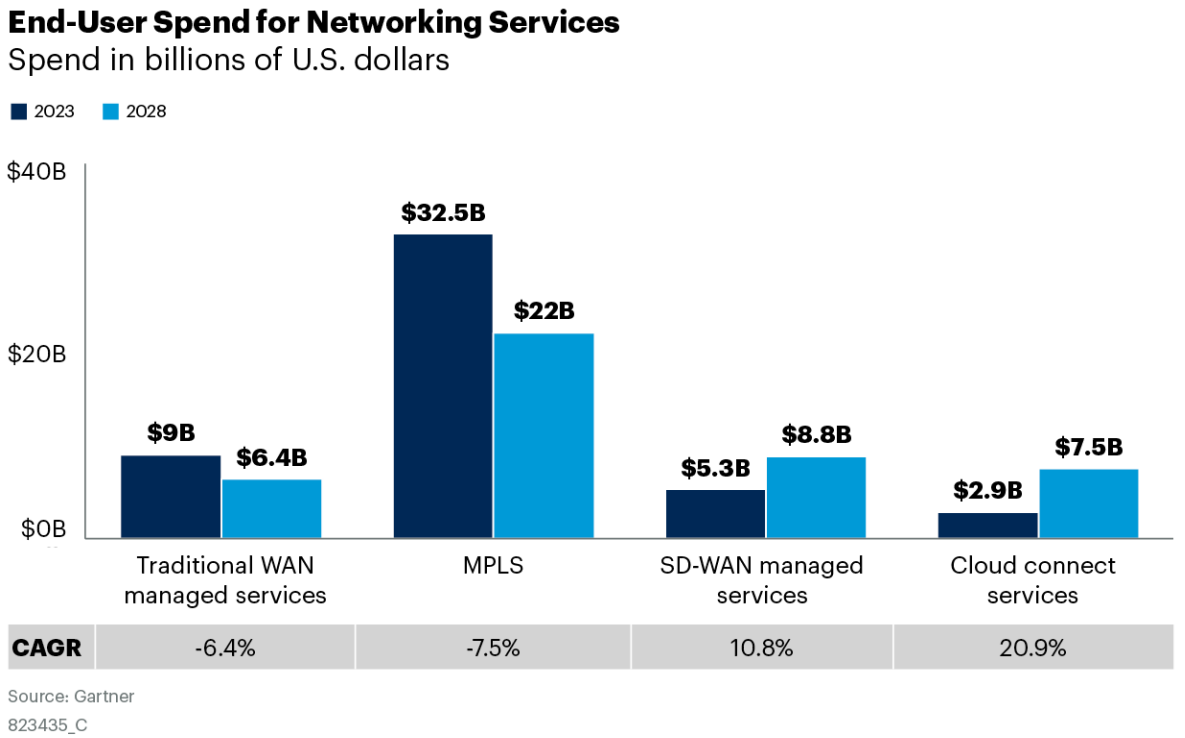
Figure 1: End-User Spend for Networking Services



Shifts in enterprise spending from traditional WAN services to SD-WAN and cloud connect solutions also pose the risk of revenue loss for communications service providers (CSPs) from alternative providers such as pure-play managed service providers and software-defined cloud interconnect players. However, CSPs can leverage this shift in investment trends to exploit key opportunities.

Bundling Strategy to Meet Increased Demand

Enterprises use a variety of connectivity services, such as internet, dedicated internet access, MPLS and fixed wireless access (FWA). Figure 2 explains the key components of modern WAN architecture.

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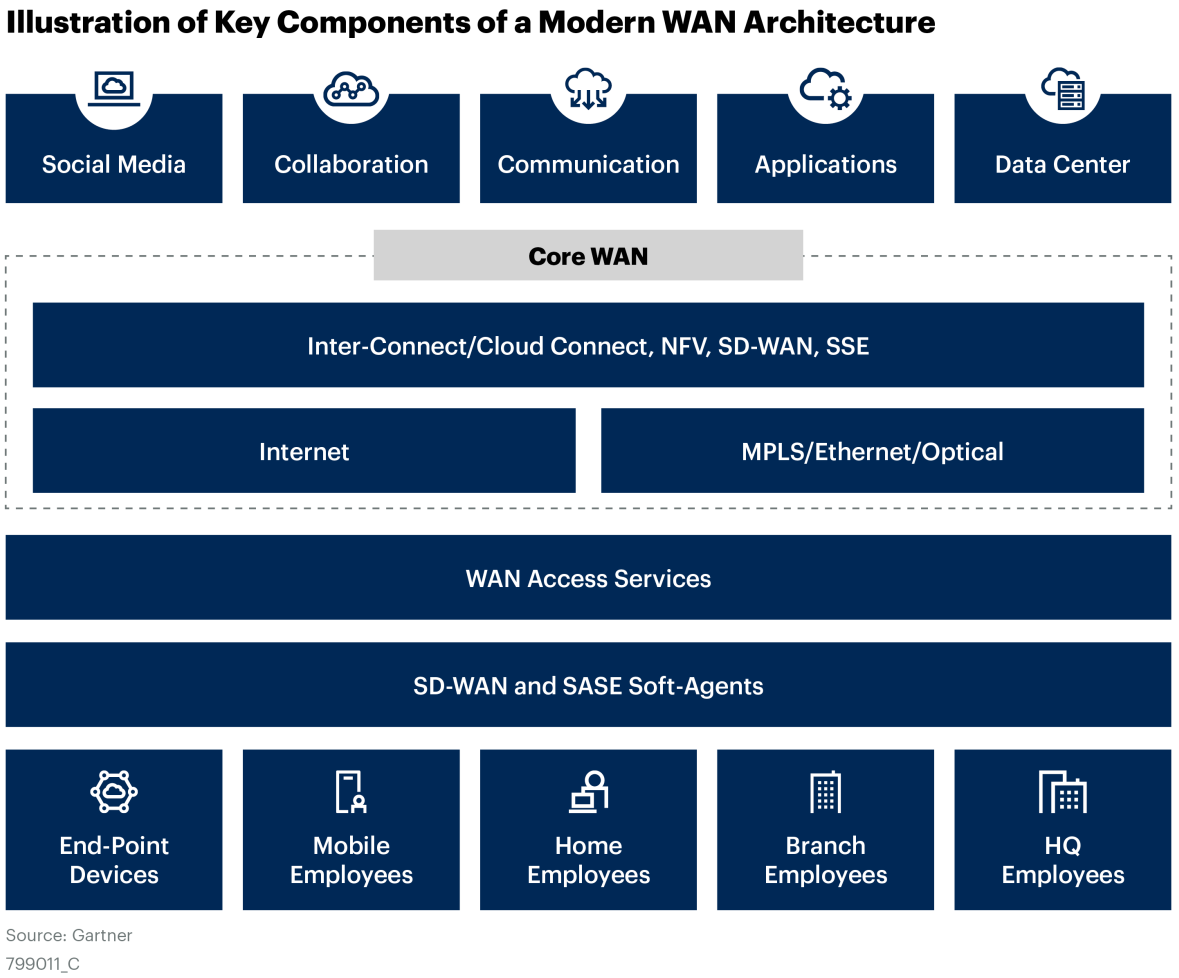
Figure 2: Illustration of Key Components of a Modern WAN Architecture



Geographically dispersed operations lead enterprises to partner with different internet service providers (ISPs), which makes managing networking services even more complex. Enterprises that do not have IT teams/in-house capabilities to deploy and manage SD-WAN rely on managed network service (MNS) providers. Gartner estimates that 70% of SD-WAN buyers on a worldwide basis use MNS, either fully managed by the provider or in co-management approaches (see Market Opportunity Map: Enterprise Network Services, Worldwide).

The MNS market is fragmented and large. Players in the market include traditional network service providers, systems integrators, and pure-play MNS specialists such as MetTel, Sify Technologies and Systal. These providers can differ greatly in terms of size, capability and geographic reach.

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CSPs have the opportunity to bundle connectivity services with SD-WAN managed services and position themselves as one-stop network service providers. This doesn't mean that CSPs can't offer a variety of SD-WAN vendors or security vendor options to enterprises. For instance, Tata Communications offers managed SD-WAN based on vendor partners such as Versa Networks, Cisco Catalyst/Meraki, Hewlett Packard Enterprise (HPE) and Fortinet (see Magic Quadrant for Global WAN Services).

CSPs can also develop or improve their MNS offerings through partnerships with other MNS providers. For instance, Verizon Business partnered with HCLTech to collaborate on networking deployments for global enterprise customers. Verizon Business continues to lead all customer acquisition, sales, solutioning, and overall planning and development with its customers. Through the collaboration, the CSP (Verizon Business) enhanced its portfolio with HCLTech capabilities for post-sale implementation and ongoing support. [3]

CSPs also have a unique opportunity to deliver integrated managed security services (MSS), leveraging bundled network and connectivity deployments. CSPs should assess combined MNS and MSS capabilities to address enterprise use cases for secure network connectivity. This trend was identified in Case Study: Align Managed Network and Security Services, highlighting a case study of a CSP combining connectivity, managed network services and managed security services.

Typically, this process includes a variety of connectivity options such as fiber, DIA, wireless and coaxial, combined with modern network technologies like SD-WAN and software-defined cloud interconnect (SDCI). These are then secured with SASE and/or other security services. SASE offers an effective way to not only modernize your network, but secure it with an integrated suite of managed networking and security services. This, in turn, provides enhanced security and improved network performance.

Another approach is to combine connectivity with network threat intelligence and advanced firewalls at the customer perimeter to provide secure connectivity. Examples are AT&T's Dynamic Defense and Lumen's Defender. [4,5] Even if a CSP does not offer a package yet, it is possible to combine connectivity, modern network services and security to create a secure connectivity package.

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Deploying Cloud Interconnect Fabrics

Enterprises are moving data and applications from on-premises data centers to the cloud using IaaS and PaaS, as well as a wide range of SaaS applications. As internet-based connections cannot guarantee high performance, predictability and agility to enterprises' mission-critical applications, the global cloud connect market, in terms of end-user spending, is expected to increase. There are a variety of providers offering private connections to the cloud. As more enterprise workloads reside in the cloud, cloud-to-cloud traffic use-cases are growing, making dependable intercloud connectivity a key business requirement.

CSPs face competition from SDCI fabrics offered by providers such as Console Connect, Equinix, InterCloud or Megaport as they meet enterprises' evolving demands (see Competitive Landscape: Private Cloud Connectivity Services). These solutions provide the ability to order, deploy, configure and change cloud connectivity on demand, in an automated fashion and in near real time to cloud providers. Enterprises want to rapidly provision new services upon need and avoid long procurement cycles and lead times.

Currently, CSPs offer carrier-based interconnects (CBIs), which are prebuilt, dedicated, point-to-point connections from a carrier's point of presence (POP) to the entry door of a cloud provider. CSPs sell to enterprise clients virtual private connections over prebuilt infrastructure shared by several enterprise WAN clients. While this is a valid solution for enterprises that leverage one cloud for critical IT workloads and have rather predictable demand, it might fall short for enterprises that have more dynamic multicloud requirements.

To compete, leading CSPs are evolving CBI offerings to become programmable cloud interconnect fabrics, often forging strategic partnerships with hyperscalers, SD-WAN, security and SDCI providers. For instance, BT's Global Fabric solution offers on-demand cloud connectivity which is scalable (expands to the number of cloud connections as needed), cost-effective (with pay-as-you-go granularity for bandwidth increments as small as 1 Mbps), and offers contract terms ranging from one day to five years. [6] Global Fabric is the result of BT's extensive partnerships with hyperscalers, cloud security services, content delivery networks, SaaS applications, SD-WAN providers and conferencing services.

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Orange Business also offers on-demand cloud connectivity through its centralized console, Cloud Connect. [7] This platform is a result of Orange's strategic partnership with various cloud connectivity, security service edge (SSE), SD-WAN and cloud networking players. Enterprise customers have the option of adjusting bandwidth according to need and can pay accordingly while securely connecting to various hyperscalers and SaaS-based applications.

Evidence

[1] Forecast: Services, Worldwide, 2022-2028, 4Q24 Update

[2] Forecast: Communications Services, Worldwide, 2022-2028, 4Q24 Update

[3] Verizon Business Forms Global Strategic Partnership with HCLTech for Managed Network Services, HCLTech

[4] AT&T Dynamic Defense, AT&T Business

[5] Lumen Defender, Lumen

[6] Global Fabric, BT

[7] On-Demand Cloud Connect, Orange Business

Recommended by the Authors

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Competitive Landscape: Private Cloud Connectivity Services

Magic Quadrant for Managed Network Services

Market Trend: CSP NaaS Offerings for Enterprise Networking

Forecast: Services, Worldwide, 2022-2028, 3Q24 Update

Forecast: Communications Services, Worldwide, 2022-2028, 3Q24 Update

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